

start? It's not enough to have a vague idea. While shelling out a monthly amount is good, it might not be much to lead a self-sufficient life. Hence, the first step is to determine how much time you have before retirement and how long you expect to live post-retirement. Once you know the answer to these two, you will be in a better position to plan.

TIME IT RIGHT

You might have just started your first job or you might be in your 50s—instead of being baffled by how early or late you are, start today. The more you delay, the more aggressively you will have to save.

For example, if your age is 20 and you want a corpus of ₹5 crore at 60, you would need to save only ₹4,250 monthly for the next 40 years, assuming the rate of return of 12 per cent. However, starting at 50 will mean saving ₹2.17 lakh each month to have ₹5 crore in the next 10 years.

Starting early has its advantages as it takes the pressure off the last leg. It gives your money more time to grow, as the power of compounding can multiply it exponentially over time. If you start saving ₹4,250 per month at the age of 30, it will accumulate to only ₹1.48 crore. The 10 years of compounding can give you an edge of over ₹3 crore.

“The most common mistake investors make is not to set their quantified retirement age and corpus at an early age. They plan for their retirement after turning 35, which is not a right habit. Each investor should plan for retirement from their first job at around 22 years of age and build a long-term portfolio with the multiplier benefit of compounding. Both discussed individuals will have a significant difference in their retirement corpus, even if they invest the same amount of money, that too in the same product, due to the higher power of compounding for the additional 13 years in the second person's case,” says Amit Jain,

Chief Executive and Co-founder of Ashika Wealth Advisors.

After figuring out the number of years you have before retirement, the next step is to determine the number of years you expect to live as it helps in calculating the retirement fund you will need.

KNOW YOUR NEEDS

Another reason why people run out of funds is the fact that they tend to ignore inflation while planning their retirement. This could be

a costly mistake as calculations show that if you spend ₹12 lakh annually at the age of 50, then to meet the same expenses you will require ₹24 lakh after 10 years, assuming a 7 per cent rate of inflation.

It is important to note that inflation reduces the purchasing power of money.

This is why your grandparents are shocked when they see current vegetable and milk prices. Like many, they also might have assumed that they could continue

HOW TO CALCULATE YOUR RETIREMENT CORPUS

Current age	50
Expected age at retirement	60
Number of years left for retirement	10
Life expectancy (age at death)	85
Years after retirement	25
Current annual expenses	₹12,00,000.00
Expected annual growth percentage in expenses	7.00%
Annual expenses at retirement age (FV in Excel or formula below*)	₹23,60,581.63
Percentage of annual expenses needed after retirement	100%
Required annual expenses at retirement	₹23,60,581.63
Rate of return on retirement corpus	8.00%
Inflation rate	6.00%
Inflation adjusted rate of return #	1.89%
Retirement corpus (formula below**)	₹4,75,86,355.04
Existing retirement corpus	
Additional retirement corpus needed	₹4,75,86,355.04
Rate of return during accumulation	12%
Monthly savings required to reach corpus (PMT formula in Excel)	(₹2,06,862.40)

* FORMULA FOR FUTURE VALUE (FV) = $PV(1+R)^N$; (1200000 * (1+7%)^10)

#INFLATION-ADJUSTED RETURN = $(1 + \text{RETURN}\%) / (1 + \text{INFLATION}\%) - 1$; (1+8%)/(1+6%)-1

**RETIREMENT CORPUS = $P*((1+G)/(1+R))^N / (R-G)$ WHERE P IS ANNUAL EXPENSES AT THE TIME OF RETIREMENT, G IS INFLATION RATE POST RETIREMENT, R IS EXPECTED RATE OF RETURN POST RETIREMENT, AND N IS YEARS AFTER RETIREMENT